Gryphon Capital Income Trust (ASX: GCI)

ARSN 623 308 850

Investment Update as at 30 September 2021

Investment Objective and Strategy

The Gryphon Capital Income Trust (ASX Code: GCI) is designed for investors seeking sustainable, monthly income through exposure to an actively managed portfolio of securitised, floating rate bonds held in a Listed Investment Trust structure. The Target Return is equal to RBA Cash Rate + 3.50% pa. The Australian securitised market comprises floating rate, Residential Mortgage-Backed Securities (RMBS) and Asset Backed Securities (ABS) and is a key pillar of the Australian fixed income market.

GCI's 3 strategic objectives

1. *Sustainable monthly cash income*
2. *High risk-adjusted return*
3. *Capital Preservation*

Fund Performance

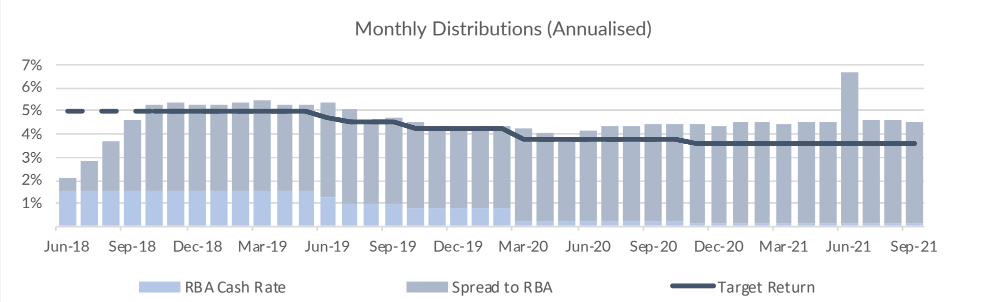
	1 Mth	3 Mth	6 Mth	1 Yr	3 Yr (Ann)	Incep (Ann)[1]
Net Return (%)	0.32	1.14	2.94	6.18	5.23	5.03
RBA Cash Rate (%)	0.01	0.03	0.05	0.11	0.65	0.74
Net Excess Return (%)	0.31	1.11	2.88	6.06	4.55	4.27
Distribution[1] (%)	0.37	1.13	2.43	4.66	4.72	4.55
Distribution (¢/unit)	0.74	2.29	4.87	9.22	9.27	8.96

[1] Inception date – 21 May 2018

Note: Past performance is not a reliable indicator of future performance.

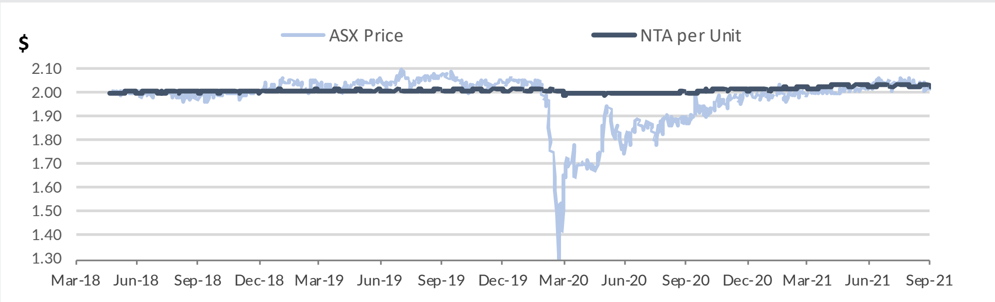
Distribution

GCI announced a 0.74 cents per unit distribution for the month, generating a trailing 12-month distribution return of 4.66% (net)[2].



[2] Actual distribution as % of NTA, assuming distribution reinvestment.

Net Tangible Asset (NTA) / Unit and ASX Price Performance



continued overleaf...

ABOUT THE MANAGER

Gryphon Capital Investments Pty Ltd ("Gryphon") is a specialist fixed income manager with significant experience in the Australian and International fixed income markets. Gryphon manages individual segregated accounts on behalf of institutional investors and GCI on behalf of wholesale and retail investors seeking opportunities in fixed income credit markets including RMBS and ABS. Gryphon currently manages funds in excess of $2.6 billion.

SNAPSHOT

ASX Code	GCI
IPO Date	25 May 2018
Asset	Fixed Income, floating rate
Market Cap/Unit	$478.8m/$2.02
NTA/Unit	$479.8m/$2.02
Investment Management Fee[3]	0.72%
Performance Fee	None
Distributions	Monthly
Unit Pricing	Daily

[3] Includes GST, net of reduced input tax credits

CHARACTERISTICS

Current Yield[4]	4.55%
Distributions (12m)[5]	4.66%
RBA Cash Rate	0.10% pa.
Interest Rate Duration	0.04 years
Credit Spread Duration	1.22 years
Number of Bond Holdings	96
Number of Underlying Mortgage Loans	106,596

[4] September 2021 distribution as % of unit price, annualised.

[5] Actual distribution for the 12 months to 30 September, as a % of NTA, assuming distribution reinvestment.

RESEARCH

BondAdviser

INDEPENDENT INVESTMENT RESEARCH

Zenith RECOMMENDED

Lonsec

WEBSITE

www.gcapinvest.com/our-lit

Commentary

Over the last few months, GCI successfully raised over $74 million through a combination of 1) a Placement to wholesale and sophisticated investors and 2) a Unit Purchase Plan (UPP). The UPP provided an opportunity for existing unitholders to purchase units at the same price paid by wholesale investors under the Placement. Gryphon would like to thank all our clients for supporting the success of the GCI Offers and believe this reflects both GCI's impressive investment performance coupled with proactive market engagement since listing, and ongoing investor demand for defensive investments which aim to preserve capital whilst providing sustainable and predictable income. Gryphon continues to see a strong pipeline of potential investments which will enable us to meet the risk and return characteristics of the Trust's Investment Strategy.

As national house prices continue to soar upwards (according to CoreLogic house prices increased circa 18% over the past year), borrowers are taking out larger loans. Although, while the weighted average loan balance of the GCI RMBS investments has also increased by circa 18% over the past year, we have not seen an increase in the weighted average loan to value ratio (LVR), which has remained stable at 65%. From an RMBS investor's perspective, larger loans and stable LVRs mean Borrower's deposits (in absolute terms) are getting larger, providing additional bondholder protections — a net credit positive for RMBS investors.

While the mortgage market has recently been dominated by owner/occupiers, in the last few quarters we have seen an acceleration in lending to investors[1]. Apparently, this acceleration in investor lending adding fuel to an already hot property market was the catalyst in driving APRA to fire a warning shot across the bows of the banks. In early October, APRA released its first adjustment to lending guidelines since 2019, increasing the minimum interest rate buffer it expects banks to use when accessing the serviceability of home loan applications to at least 3.0% compared to the commonly used 2.5% previously. APRA suggested that the lift to 3% in the serviceability buffer should result in a circa 5% reduction in the maximum borrowing capacity for the typical borrower. While APRA is clearly focussed on "maximum borrower capacity", it is interesting to note that CBA disclosed recently[2] that only 8% of their home loan applicants borrowed at capacity. Clearly, the typical borrower is not borrowing to capacity and because of the record low mortgage interest rates, housing affordability (mortgage payments as a % of household income) is as good as it has been for a very long time.

Only time will tell whether the APRA adjustment to the minimum interest rate buffer will have the desired impact, although rapid house price growth is a global rather than local phenomenon. APRA have kept their options open and the path of income and credit growth in the coming quarters may lead to the introduction of further adjustments to lending guidelines, perhaps as early as Q1 2022.

GCI upgraded by Lonsec Research to "Recommended"

Gryphon is pleased to announce that in its recent annual review of GCI (completed September 2021), the research house Lonsec upgraded GCI's investment rating from 'Investment Grade' to 'Recommended'. This rating indicates that Lonsec has strong conviction that GCI can generate risk adjusted returns in line with its relevant objectives. Lonsec noted the extensive experience of the Portfolio Managers, and that Gryphon utilises a rigorous investment and research process with strong risk management embedded down to the security level. This is a good result, not only for Gryphon, but for the investors in GCI and is further evidence that Gryphon is continuing to be true to label producing regular and sustainable income whilst keeping capital preservation as a primary concern.

[1] AFG Index October 2021

[2] CBA Results Presentation 30/6/21 pg 81

continued overleaf...

INVESTMENT HIGHLIGHTS

Income	Sustainable monthly cash income.
Large, institutional fixed income market	Australian ABS market >A$110 billion is double the size of the corporate bond market
Security, capital preservation	Defensive asset class with a track record of low capital price volatility No investor has ever lost a $ of principal investing in Australian Prime RMBS
Portfolio diversification	Allows retail and SMSF investors to access a fixed income asset class that generally has only been available to institutional investors
Investment Manager	Exposure to a specialist investment manager with a proven track record of investment outperformance

PARTIES

Responsible Entity

One Managed Investment Funds Limited
ACN 117 400 987 AFSL 297042

Manager

Gryphon Capital Investments Pty Ltd
ACN 167 850 535 AFSL 454552

AVAILABLE PLATFORMS INCLUDE:

Asgard	BT Panorama
BT Super Wrap	BT Wrap
First Wrap	HUB24
Macquarie Wrap	Mason Stevens
MLC	Navigator
Netwealth	North

FURTHER INFORMATION AND ENQUIRIES

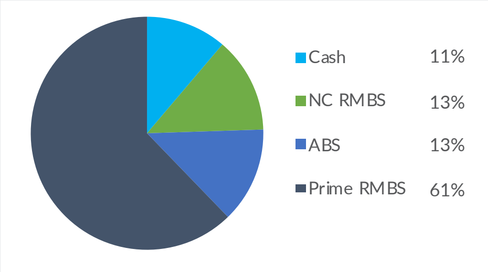
Gryphon Capital Income Trust
www.gcapinvest.com/our-lit

General
Email info@gcapinvest.com

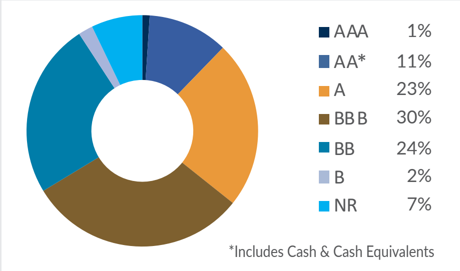
Boardroom (Unit Registry)
Phone 1300 737 760
Email enquiries@boardroomlimited.com.au

Portfolio Construction

Sector Allocations[1]



Rating Breakdown[1]



[1] Excludes Manager Loan.

Portfolio Underlying Residential Mortgage Loan Statistics[2]

	Total	Prime	Non-conforming[3]
No. of Underlying Loans	106,596	97,867	8,729
Weighted Average Underlying Loan Balance	$554,824	$505,542	$780,873
Weighted Average LVR	66%	66%	69%
Weighted Average Seasoning	25 months	28 months	14 months
Weighted Average Interest Rate	3.25%	3.10%	3.94%
Owner Occupied	66%	65%	68%
Interest Only	23%	24%	20%
90+ Days in Arrears as % of Loans	0.33%	0.30%	0.50%
% Loans > $1.5m Balance	1.87%	1.24%	4.74%

[2] Please note that although the values in this Investment Report are accurate portfolio statistics, the return and performance of actual credit instruments invested in are assessed individually.

[3] Non-conforming loans are residential mortgage loans that would not typically qualify for a loan from a traditional prime lender and are generally not eligible to be covered by LMI. Borrowers may not qualify due to past credit events, non-standard income (self employed) or large loan size.

SME Portfolio Statistics

Sub sector	%	A	BBB	BB	B
ABS SME	13.3%	2.3%	5.8%	5.3%	–

SME Portfolio Underlying Mortgage Loan Statistics[4]

No. of Underlying Loans	4,828
Weighted Average Underlying Loan Balance	$466,289
Weighted Average LVR	59.0%
% > 80% LVR	0.60%
Weighted Average Borrowers' Equity	$323,751
90+ Days in Arrears as % of Loans	0.27%
% > $1.5m Current Balance	1.05%

Borrower Type	
SMSF	76.4%
Company	12.0%
Individual	11.6%

Property Type	
Residential	41.3%
Commercial	57.9%
Mixed	0.8%

[4] Please note that although the values in this Investment Report are accurate portfolio statistics, the return and performance of actual credit instruments invested in are assessed individually.

continued overleaf...

PARTIES

Responsible Entity
One Managed Investment Funds Limited
ACN 117 400 987 AFSL 297042

Manager
Gryphon Capital Investments Pty Ltd
ACN 167 850 535 AFSL 454552

AVAILABLE PLATFORMS INCLUDE:

Asgard	BT Panorama
BT Super Wrap	BT Wrap
First Wrap	HUB24
Macquarie Wrap	Mason Stevens
MLC	Navigator
Netwealth	North

FURTHER INFORMATION AND ENQUIRIES

Gryphon Capital Income Trust
www.gcapinvest.com/our-lit

General
Email info@gcapinvest.com

Boardroom (Unit Registry)
Phone 1300 737 760
Email enquiries@boardroomlimited.com.au

Gryphon Capital Income Trust (ASX:GCI)

ARSN 623 308 850

Investment Update as at 30 September 2021

Distributions (%)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
2021	0.37	0.34	0.37	0.36	0.38	0.53	0.38	0.38	0.37	–	–	–	3.54
2020	0.36	0.34	0.36	0.33	0.33	0.34	0.36	0.36	0.36	0.37	0.35	0.36	4.29
2019	0.44	0.40	0.45	0.42	0.44	0.43	0.42	0.38	0.38	0.38	0.35	0.36	4.96
2018	–	–	–	–	–	0.23	0.24	0.31	0.37	0.44	0.43	0.44	2.48

Fund Returns (Net)[1] (%)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD[2]
2021	0.33	0.57	0.45	0.61	0.68	0.48	0.37	0.44	0.32	–	–	–	4.33
2020	0.38	0.34	(0.45)	0.36	0.30	0.41	0.36	0.39	0.49	0.71	0.67	0.37	4.42
2019	0.50	0.42	0.49	0.43	0.42	0.45	0.74	0.43	0.35	0.41	0.38	0.39	5.54
2018	–	–	–	–	0.02	0.24	0.25	0.31	0.39	0.44	0.45	0.45	2.58

Total Unitholder Returns[3] (%)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD[2]
2021	(0.62)	(0.67)	2.2	1.12	0.88	1.03	1.36	0.87	(1.58)	–	–	–	4.59
2020	0.85	(2.60)	(16.7)	3.12	7.76	(3.75)	8.15	1.45	(0.94)	3.33	0.63	3.73	2.55
2019	2.43	(0.10)	(1.03)	0.42	2.43	0.91	2.35	(1.54)	1.34	(1.56)	0.34	0.36	6.42
2018	–	–	–	–	0.50	(0.27)	0.24	0.06	(0.88)	1.97	(1.07)	2.48	3.01

[1] Fund Return reflects compounded movements in the NTA.

[2] Assuming monthly compounding.

[3] Total Unitholder Returns comprises compounded distributions plus compounded movements in the listed price of ASX:GCI.

PARTIES

Responsible Entity

One Managed Investment Funds Limited
ACN 117 400 987 AFSL 297042

Manager

Gryphon Capital Investments Pty Ltd
ACN 167 850 535 AFSL 454552

AVAILABLE PLATFORMS INCLUDE:

- Asgard
- BT Panorama
- BT Super Wrap
- BT Wrap
- First Wrap
- HUB24
- Macquarie Wrap
- Mason Stevens
- MLC
- Navigator
- Netwealth
- North

FURTHER INFORMATION AND ENQUIRIES

Gryphon Capital Income Trust
www.gcapinvest.com/our-lit

General
Email info@gcapinvest.com

Boardroom (Unit Registry)
Phone 1300 737 760
Email enquiries@boardroomlimited.com.au

ASX release date: 19 October 2021
Authorised for release by One Managed Investment Funds Limited, the responsible entity of Gryphon Capital Income Trust.